



COMPREHENSIVE GUIDE ON ADVANCE PRICING AGREEMENT (APA)

(An Indian Perspective)



Advance Pricing Agreement (APA) is a contract between a taxpayer and the tax authority, which sets the terms of the transfer pricing for a specified period. It is a voluntary arrangement, which is entered into by the taxpayer and the tax authority, to resolve the transfer pricing issues in advance. The APA is a binding agreement, which is entered into by the taxpayer and the tax authority, to resolve the transfer pricing issues in advance. The APA is a binding agreement, which is entered into by the taxpayer and the tax authority, to resolve the transfer pricing issues in advance.



THE INSTITUTE OF COST ACCOUNTANTS OF INDIA

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2. Conducting webinars, seminars and conferences etc. on various taxation related matters as per relevance to the profession and use by various stakeholders.
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**Comprehensive Guide on
Advance Pricing
Agreements (APA):
An Indian Perspective**

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CMA Bhawan
3, Institutional Area, Lodhi Road, New Delhi - 110003

Kolkata Office

CMA Bhawan
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President's Message

In today's global economy, companies frequently trade across borders. This has made Transfer Pricing—the pricing of transactions between different branches of the same company—one of the most complex areas of tax law. For India to remain a top destination for global investment, it is essential that our tax system is predictable and fair. The Advance Pricing Agreement (APA) program is a vital tool in achieving this, as it allows businesses to agree on tax prices with the government in advance, preventing years of legal disputes.

While the APA program is a brilliant initiative for “Ease of Doing Business,” it is also highly technical. Navigating the rules, documentation, and negotiations required to reach an agreement can be a daunting task for many.

It is with great pleasure that we introduce the publication, **“Comprehensive Guide on Advance Pricing Agreement: An Indian Perspective.”** This book has been designed to simplify these complexities. It provides a clear, step-by-step roadmap of the APA process, from the initial application to the final agreement. By breaking down difficult legal concepts into manageable insights, this guide bridges the gap between official law and everyday practice.

This publication stands out by translating complex statutory requirements into actionable business intelligence through a highly practical approach. It provides practical solutions by addressing the actual hurdles faced by tax professionals and businesses, while offering clear guidance that simplifies technical concepts like “rollback” rules and benchmarking for easy application. Ultimately, the book delivers immense strategic value, empowering organizations to navigate their tax future with greater confidence and significantly reduced risk.

I would like to express my sincere gratitude to the authors and the Research Team. Their hard work has turned a complex subject into a user-friendly resource that will benefit professionals, students, and policymakers alike.

I am confident that this book will become an essential handbook for anyone working in international tax. It is a significant step toward making India's tax environment more transparent, efficient, and investor-friendly.

CMA T C A Srinivasa Prasad

President
ICMAI

Date: 09.01.2026



Vice President's Message

In today's global economy, the movement of capital and services across borders plays a vital role in India's growth story. As companies expand internationally, **Transfer Pricing** has become one of the most intellectually challenging areas of taxation. Within this landscape, the **Advance Pricing Agreement (APA)** program stands as a key pillar, designed to provide businesses with long-term tax certainty and a path away from unnecessary litigation.

Mastering the APA process requires more than just following a set of rules; it requires a genuine **curiosity** and a drive for **continuous learning**. Professionals must navigate a complex world of economic theories, global benchmarks, and evolving regulations. Understanding how to align business goals with tax compliance is a journey of constant knowledge gaining that is essential for success in international trade.

It is with this focus on professional growth that we present the "**Comprehensive Guide on Advance Pricing Agreement: An Indian Perspective.**" This book has been thoughtfully developed to turn complex legal requirements into a clear, structured roadmap. It bridges the gap between the written law and the practical reality of securing a successful agreement.

The true strength of this work lies in its **practitioner-centric approach**. It provides **practical solutions** by addressing the real-world challenges that tax professionals and businesses face daily. By offering **clear guidance** on technical topics like "rollback" rules and benchmarking, it makes difficult concepts easy to apply. Ultimately, this guide provides **strategic value**, helping organizations plan their future with confidence and much lower risk.

I am confident that this publication will be an invaluable resource for everyone involved in foreign trade and taxation. I commend the authors, the research team, and all contributors for their hard work and technical excellence.

I extend my best wishes for the success of this book and hope it finds wide acceptance among the professional fraternity.

CMA Neeraj Dhananjay Joshi

Vice – President

ICMAI

Date: 09.01.2026



Chairman's Message

It is my pleasure to introduce "*Comprehensive Guide on Advance Pricing Agreement: An Indian Perspective*", a timely and insightful publication that addresses one of the most significant tools in transfer pricing risk management. Advance Pricing Agreements (APAs) play a critical role in providing clarity, certainty, and risk mitigation for multinational corporations engaged in cross-border transactions. As India continues to align its transfer pricing framework with global standards, the APA mechanism has become a vital instrument for businesses looking to ensure compliance while avoiding costly disputes.

In recent years, the Indian government has made substantial progress in enhancing the legal and procedural framework around transfer pricing, with APAs serving as a key component of this effort. The introduction of APAs in India has been transformative, providing a mechanism for taxpayers to pre-negotiate their transfer pricing methods with the tax authorities. However, navigating the intricacies of the APA process requires not only a thorough understanding of the law but also a strategic approach to its application.

This book provides an in-depth exploration of the APA regime in India, examining the procedures, eligibility criteria, benefits, and challenges faced by businesses seeking to enter into an APA. The publication offers a practical and structured analysis, helping readers understand the nuances of the APA process—from application submission to negotiations, and from compliance requirements to dispute resolution.

What makes this book particularly valuable is its focus on the Indian perspective. It provides detailed insights into how APAs operate within the Indian tax environment, highlighting the interaction between Indian tax regulations and global transfer pricing guidelines. The authors have effectively bridged the gap between theoretical aspects of APAs and practical challenges, offering readers actionable knowledge that will guide them through the complexities of securing an APA.

As the landscape of transfer pricing continues to evolve, a clear understanding of APAs is essential for professionals, businesses, and policymakers to manage risk and ensure tax certainty. I commend the authors for their diligent research, technical expertise, and commitment to providing such a comprehensive resource. This publication will undoubtedly serve as a valuable guide for Cost and Management Accountants, tax professionals, corporate leaders, and students alike, empowering them to navigate the nuances of the APA process with confidence.

I am confident that "*Comprehensive Guide on Advance Pricing Agreement: An Indian Perspective*" will contribute significantly to the ongoing development of transfer pricing knowledge in India and internationally, helping to build a more transparent, predictable, and compliant tax environment.

A handwritten signature in dark ink, appearing to be 'Rajendra Singh Bhati', with a long horizontal stroke extending to the right.

CMA Rajendra Singh Bhati

Chairman – Direct Taxation Committee
ICMAI

Date: 09.01.2026

Preface

In the rapidly evolving world of international taxation, managing transfer pricing risks has become increasingly important for multinational corporations. One of the key tools that businesses can leverage to mitigate transfer pricing risks and ensure tax certainty is the Advance Pricing Agreement (APA). The APA mechanism, introduced to resolve potential disputes over transfer pricing methodologies before they arise, offers businesses an opportunity to negotiate with tax authorities and obtain clarity on pricing arrangements in advance. In India, the implementation of the APA regime has brought a much-needed layer of certainty to a complex and often contentious area of taxation.

"Comprehensive Guide on Advance Pricing Agreement: An Indian Perspective" is a timely and insightful publication that aims to provide a thorough understanding of the APA process in India. Authored by *CMA Pramod Agarwal*, a seasoned expert in international taxation, this book serves as a detailed resource for professionals, businesses, and policymakers alike. It presents a deep dive into the nuances of the APA framework, offering both theoretical insights and practical guidance for its effective application.

The book covers the procedural aspects of obtaining an APA in India, detailing the steps involved, the requirements for eligibility, the documentation needed, and the negotiation process with the tax authorities. It also discusses the advantages of using the APA mechanism, such as minimizing the risk of transfer pricing adjustments, avoiding double taxation, and enhancing the predictability of tax liabilities. Furthermore, the book explores the potential challenges and pitfalls that businesses may face during the APA process and offers practical advice on how to navigate them effectively.

In the context of India, where transfer pricing has been a significant source of dispute between taxpayers and tax authorities, the APA system provides a much-needed resolution mechanism. This book highlights the impact of the APA regime on the Indian tax landscape, particularly with regard to the recent changes in the regulatory framework, as well as the evolving global standards set by the OECD. By examining the Indian perspective in detail, the book bridges the gap between theory and practice, helping businesses navigate the complexities of both local and international tax laws.

Through its comprehensive approach, this guide serves as a vital tool for businesses seeking to gain a better understanding of how APAs function in India and how they can be used to mitigate transfer pricing risks. With practical examples, case studies, and insights from the Indian tax authorities, the book offers readers the tools they need to engage effectively with the APA process.

We express our deep appreciation to *CMA Pramod Agarwal* for his dedication and expertise in bringing this important subject to light. His thorough analysis, coupled with his practical experience, has ensured that this book will be a valuable reference for professionals, tax practitioners, corporate leaders, and academicians interested in understanding the strategic role of APAs in transfer pricing risk management.

Thank You.

Team TRD

Date: 09.01.2026

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The rapid integration of the Indian economy with global markets has significantly transformed the country's tax landscape. Multinational enterprises (MNEs) today operate through complex cross-border structures involving goods, services, financing, and intangibles. While such integration has contributed to economic growth, it has also intensified transfer pricing challenges, making the determination of arm's length prices one of the most contentious areas of international taxation in India.

Historically, transfer pricing disputes in India have been characterized by prolonged audits, large adjustments, and extensive litigation, often spanning multiple assessment years. This adversarial model created uncertainty for taxpayers and imposed substantial administrative burdens on tax authorities. Recognizing the need for a more collaborative and certainty-oriented approach, India introduced the Advance Pricing Agreement (APA) regime through amendments to the Income-tax Act, 1961, marking a decisive shift in transfer pricing administration.

Since its inception in 2012, the Indian APA program has evolved into one of the most mature and successful APA frameworks globally. India has executed a large number of unilateral, bilateral, and multilateral APAs, covering diverse industries and complex transactions, including those involving intangibles, intra-group services, and financial arrangements.

An Advance Pricing Agreement is a forward-looking arrangement between a taxpayer and the tax administration that determines, in advance, the appropriate transfer pricing methodology and related parameters for covered international transactions over a specified period.

In India, the APA program is administered by the Central Board of Direct Taxes (CBDT) and is closely aligned with international best practices advocated by the **Organization for Economic Co-operation and Development (OECD)**. The regime reflects a conscious policy choice to move from dispute resolution to dispute prevention.

This handbook is designed to provide a systematic and in-depth understanding of the APA framework in India. It examines the legal foundation of APAs under Indian tax law, the procedural architecture governing their implementation, and the strategic considerations that



influence their success. The handbook adopts a structured approach, progressing from conceptual foundations to procedural guidance and finally to practical and compliance-oriented insights.

The focus throughout this handbook is on clarity, coherence, and practical relevance. Complex statutory provisions, rules, and administrative practices are explained in a manner that connects legal theory with real-world application. By doing so, the handbook seeks to assist taxpayers in making informed decisions, advisors in structuring robust APA applications, and students and administrators in developing a nuanced understanding of India's APA regime.

In an era where tax certainty is increasingly viewed as a cornerstone of investment and economic stability, Advance Pricing Agreements occupy a central place in India's international tax policy.

This handbook aims to serve as a comprehensive reference and practical guide, enabling readers to navigate the APA mechanism with confidence and informed judgment.

MEANING AND SCOPE OF ADVANCE PRICING AGREEMENT (APA)

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An Advance Pricing Agreement (APA) is an agreement entered into between the CBDT and a taxpayer whereby the arm's length price or the manner of determination of the arm's length price (ALP), or both, is determined in advance in respect of one or more international transactions. Once an APA is entered into for a particular international transaction, the ALP for such transaction, for the period specified in the agreement, shall be determined strictly in accordance with the terms of the APA.

An APA, once concluded, is binding on the taxpayer as well as on the Commissioner of Income-tax and all subordinate income-tax authorities having jurisdiction over the taxpayer and the covered transaction. The maximum term of an APA is five years, and there is no prescribed minimum duration. However, considering the time, cost, and effort involved in negotiating and finalizing an APA, applications are generally expected to be made for a reasonably long period, typically not less than three years.

The Act also specifies the circumstances under which an APA shall not be binding or may be declared void ab initio. Further, Rules of the Income-tax Rules provide for the revision and cancellation of an APA under specified circumstances.

Under the scheme, an APA may be entered into in respect of one or more international transactions entered into or proposed to be entered into between a person and its associated enterprise. The scope of the scheme is restricted to international transactions and does not extend to specified domestic transactions. The APA application may cover determination of the arm's length price or the manner in which such price is to be determined.

The APA scheme recognizes unilateral, bilateral and multilateral agreements. The APA may also be applied to rollback years, not exceeding four previous years, subject to the satisfaction of prescribed conditions, including similarity of transactions, associated enterprises, and absence of any change in facts or law.

The Advance Pricing Agreement (APA) program represents one of the key policy measures undertaken to create a more investor-friendly tax



environment in India. The program has received strong acceptance from taxpayers as well as tax professionals. It has played an important role in advancing the Government of India's agenda of improving ease of doing business, particularly for multinational enterprises (MNEs) that engage extensively in cross-border transactions with their associated entities. Built on the principles of cooperation, transparency, and mutual trust between taxpayers and tax authorities, the APA program has further strengthened the credibility of India's tax administration.

A major benefit of the APA program lies in the certainty it provides over multiple tax years. The APA framework has made a substantial contribution towards the prevention and resolution of long-pending tax controversies. This has also conveyed a strong signal of the Government's intention to provide a stable, predictable, and business-conducive tax regime.

TYPES OF ADVANCE PRICING AGREEMENT

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The APA scheme envisages three types of agreements, namely:

3.1. Unilateral APA

A unilateral APA is an arrangement entered into exclusively between the CBDT and the taxpayer (applicant), without involving the competent tax authority of the foreign country with which the international transaction is undertaken. The primary objective of such an agreement is to provide certainty and predictability regarding the determination of the Arm's Length Price (ALP) or the appropriate Transfer Pricing Method (TPM) for specified international transactions, from the perspective of Indian tax law only.

However, since the tax authorities of the other country are not a party to the agreement, they are not bound by the terms of the unilateral APA. As a result, the foreign tax authority may independently examine the transaction and may adopt a different ALP or TPM. If the foreign authority makes a transfer pricing adjustment that is inconsistent with the Indian APA, the same income may end up being taxed in both jurisdictions.

Thus, although a unilateral APA significantly reduces the risk of transfer pricing disputes in India and provides administrative convenience to the taxpayer, it does not offer protection against double taxation arising from differing views taken by the tax authorities of the other country. In contrast, this risk is substantially mitigated in bilateral or multilateral APAs, where the competent authorities of the relevant countries mutually agree on the pricing of the transaction.

3.2. Bilateral APA

In the case of a bilateral APA, the process involves coordinated action by the taxpayer and the tax authorities of two countries to achieve certainty in transfer pricing for cross-border transactions. The applicant is first required to file an APA application with the Competent Authority of India. At the same time, either the applicant or its associated enterprise located abroad must approach the Competent Authority of the other contracting



country. This simultaneous filing is necessary because a bilateral APA can proceed only when both countries agree to participate in the process.

Once the applications are made, the Competent Authorities of India and the foreign country enter into discussions under the Mutual Agreement Procedure (MAP) provided in the relevant Double Taxation Avoidance Agreement. During these discussions, the authorities examine the facts of the case, analyze the nature of the international transactions, and negotiate key transfer pricing aspects such as the most appropriate method, comparability criteria, assumptions, and pricing or profit margins. These negotiations are conducted on a government-to-government basis, and the taxpayer does not directly participate in the negotiations between the two authorities.

After the Competent Authorities reach a mutually acceptable arrangement, the proposed terms of the bilateral APA are communicated to the applicant. The applicant is required to carefully review the arrangement, as its acceptance is a mandatory condition for finalizing the agreement. Only after the applicant formally accepts the agreed terms is the bilateral APA entered into and made binding. Once concluded, the bilateral APA provides certainty and consistency in the tax treatment of the covered transactions in both countries and effectively eliminates the risk of double taxation for the period specified in the agreement.

A bilateral APA is suitable where the taxpayer seeks certainty not only in India but also in the foreign jurisdiction, as unilateral APAs bind only the Indian tax authorities. By eliminating the possibility of corresponding adjustments being denied abroad, bilateral APAs effectively prevent economic double taxation. Although the process may be more time-consuming compared to a unilateral APA, the comprehensive certainty and treaty-level protection offered make bilateral APAs especially suitable for taxpayers with substantial international exposure and long-term cross-border operations.

3.3. Multilateral APA

In the case of a multilateral APA, the process involves negotiations between the Competent Authority of India and the competent authorities of two or more foreign countries in which the applicant's associated enterprises are located. The applicant is required to file an APA application with the Indian Competent Authority and, simultaneously, either the applicant or



its associated enterprises must approach the competent authorities of all the relevant foreign jurisdictions involved. This simultaneous approach is essential to ensure the participation and coordination of all countries concerned.

Once the applications are made, the competent authorities of the participating countries engage in discussions under the Mutual Agreement Procedure (MAP) as provided in the applicable tax treaties. During these negotiations, the authorities collectively examine the facts of the case and deliberate on the appropriate transfer pricing methodology, comparability analysis, assumptions, and pricing outcomes for the covered international transactions. After a mutually acceptable arrangement is reached among all the competent authorities, the proposed terms of the multilateral APA are communicated to the applicant. The applicant's acceptance of this arrangement is mandatory, and only upon such acceptance is the multilateral APA finalized and made binding, thereby providing certainty and preventing double taxation across all the participating countries.

A Multilateral Advance Pricing Agreement (MAPA) is most suitable in cases where a taxpayer is involved in interlinked international transactions with associated enterprises located in more than one foreign jurisdiction. Since a MAPA involves India and two or more tax treaty partner countries, it ensures that the transfer pricing methodology or arm's length price is uniformly accepted by all participating tax authorities, thereby providing the highest level of tax certainty.

Important Note

Requests for bilateral or multilateral APAs are entertained only where:

- (i) A tax treaty exists between India and the relevant country or countries containing a MAP article;***
- (ii) The treaty provides for relief from economic double taxation in line with Article 9(2) of the OECD Model Convention; and***
- (iii) The other country or countries have an operational APA program.***

APAs offer significant advantages for both taxpayers and the tax administration by reducing transfer-pricing uncertainty and dispute. Key benefits include:

- **Tax certainty:** The APA fixes in advance the pricing method (and price/range) for cross-border transactions, eliminating later disputes. In India's APA program to date, hundreds of APAs have provided clarity over thousands of assessment years. This stability helps multinational groups plan investments and profit repatriation with confidence.
- **Reduced litigation:** An APA (especially bilateral) ensures that the agreed pricing will not be challenged later. By resolving issues upfront, APAs "prevent/resolve protracted tax disputes" and significantly lessen transfer-pricing litigation. The APA regime has explicitly been cited as easing the burden on tax tribunals and higher judiciary by cutting down cases – a "non-adversarial" outcome for transfer-pricing disputes.
- **Non-adversarial framework:** APAs foster cooperative engagement between taxpayers and tax authorities. CBDT leadership notes that the APA program is "founded on principles of mutual trust and cooperation" and is a key initiative for an "investor-friendly" tax regime. Many taxpayers find this collaborative process preferable to adversarial audits or appeals.
- **Double taxation relief:** Bilateral/multilateral APAs, negotiated with treaty partners, explicitly eliminate the risk of double taxation. By locking in an arm's length price acceptable to both India and the partner country, a BAPA (e.g. with the US or UK) ensures that neither country will impose additional tax on the same profits.
- **Revenue mobilization:** APAs accelerate realization of tax on cross-border profits that might otherwise be contested for years.
- **Ease of doing business:** By reducing transfer-pricing risk and providing clarity, the APA program improves India's investment climate. The CBDT calls APAs "one of its foremost initiatives for promoting an investor-friendly and non-adversarial tax regime". In global rankings, transparent dispute-resolution mechanisms like APAs are seen as enhancing business confidence.

AUTHORITIES INVOLVED AND CONSTITUTION OF APA TEAM

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The processing of Advance Pricing Agreement (APA) applications is carried out through two distinct institutional arrangements. The first arrangement involves the Competent Authority of India, which is designated under the tax treaties to handle matters relating to bilateral and multilateral APAs and is supported by appropriate officers for effective discharge of its functions. The second arrangement consists of a dedicated APA Team, which is constituted by the tax administration in accordance with the prescribed rules to examine and process APA applications.

The APA Team is structured with officers of appropriate rank and experience and functions under the overall supervision of the designated senior authority in the field of international taxation. For the purpose of effective evaluation of APA applications, subject-matter experts in disciplines such as economics, statistics, law, or other relevant fields may also be associated with the APA Team, as required. Depending on administrative requirements and workload, the tax administration may constitute additional APA Teams from time to time.

ROLLBACK PROVISIONS IN THE APA PROGRAM

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The rollback provisions under the APA program were introduced to extend the benefits of an APA to prior years and to provide comprehensive tax certainty. These provisions are contained in section 92CC(9A) of the Income-tax Act, 1961, read with the relevant rules under the APA Scheme.

Under the rollback provisions, the arm's length price or the methodology agreed upon in an APA may be applied to up to **four previous years preceding** the first year covered by the APA. The rollback is available only in respect of international transactions that are identical in nature to those covered under the APA and are entered into with the same associated enterprises.

The application of rollback is subject to prescribed conditions, including that there should be no change in the facts, circumstances, or law that materially affect the determination of the arm's length price. Further, the rollback provisions cannot be applied to any assessment year in which the assessment has been completed and the issue is already settled or where such application would result in reduction of income or increase in loss beyond what is permitted under the rules.

To avail the rollback benefit, the taxpayer must specifically opt for rollback in the APA application and comply with the prescribed procedural requirements, including filing of modified returns where required. Once allowed, the rollback years are governed by the same terms and conditions as the APA, thereby ensuring uniformity and consistency in transfer pricing treatment across past and future years.

Overall, the rollback provisions significantly enhance the effectiveness of the APA program by reducing pending litigation, providing certainty for past years, and offering a holistic resolution to transfer pricing disputes.

SCOPE OF COVERED TRANSACTIONS UNDER AN APA

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Meaning of “Covered Transactions”

In the context of an Advance Pricing Agreement (APA), covered transactions refer to those international transactions for which the transfer pricing methodology, pricing parameters, and critical assumptions are agreed in advance between the taxpayer and the tax authorities. Once a transaction is covered under an APA, it is excluded from regular transfer pricing audit and adjustment, subject to compliance with the terms of the APA. Under the Income-tax Act, 1961, read with the Income-tax Rules, 1962, the scope of transactions that may be covered under an APA are International transactions between associated enterprises;

The APA regime in India is intentionally broad, allowing flexibility to address diverse and complex cross-border arrangements.

Types of Transactions Commonly Covered

The following categories of transactions are typically covered under APAs in India:

(i) Transactions in Tangible Goods

- Import or export of raw materials, finished goods, and components
- Distribution and manufacturing arrangements
- Contract manufacturing and toll manufacturing models

These transactions often involve recurring volumes and stable business models, making them well-suited for APA coverage.

(ii) Intra-group Services

- Management and support services
- IT and technical services
- Marketing, administrative, and back-office services

APAs help resolve disputes relating to **benefit test, mark-ups, and allocation keys**, which are frequent audit issues in service transactions.



(iii) Transactions Involving Intangibles

- Use or transfer of intellectual property
- Royalty payments
- R&D arrangements and cost contribution agreements

Given the complexity of **DEMPE functions and risk allocation**, intangibles are often included in bilateral or multilateral APAs.

(iv) Financial Transactions

- Inter-company loans and advances
- Guarantees
- Cash pooling and treasury arrangements

APAs provide clarity on **arm's length interest rates, guarantee fees, and risk premiums**.

(v) Emerging and Complex Transactions

- Digital business models
- Centralized procurement structures
- Shared service centers
- Business restructuring transactions

These transactions benefit from the **forward-looking certainty** provided by APAs.

Exclusions and Practical Limitations

Certain transactions may be unsuitable for APA coverage, such as:

- One-time or exceptional transactions,
- Transactions involving significant uncertainty or volatility,
- Transactions under active investigation for fraud or misrepresentation.

The decision ultimately depends on facts, complexity, and availability of reliable data.

PROCEDURE FOR FILING APA APPLICATION

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The APA scheme follows a structured and sequential process, which includes the following stages:

- (i) Pre-filing consultation;
- (ii) Filing of the APA application;
- (iii) Acceptance or rejection of the application;
- (iv) Actions by the taxpayer, Assessing Officer, and Transfer Pricing Officer during processing or negotiation;
- (v) Amendment of the APA application;
- (vi) Assignment of the application to the APA Team;
- (vii) Examination and analysis of the application;
- (viii) Conversion of a unilateral APA into a bilateral APA;
- (ix) Entering into a unilateral APA;
- (x) Negotiation and conclusion of bilateral or multilateral APAs;
- (xi) Post-agreement actions by the taxpayer and Assessing Officer;
- (xii) Filing of annual compliance reports;
- (xiii) Compliance audit of the APA; and
- (xiv) Revision or cancellation of the APA.

8.1. Pre-filing consultation

Before making a formal application for an Advance Pricing Agreement (APA), the taxpayer may seek a pre-filing consultation by submitting an application to the Director General of Income-tax (International Taxation) [DGIT (IT)]. Upon receipt, the DGIT (IT) shall assign the application to one of the APA Teams.

The APA Team shall conduct the pre-filing consultation with the applicant. In cases involving a bilateral or multilateral APA, the Competent Authority of India or its representative shall also be associated with the pre-filing consultation.



Purpose of Pre-filing Consultation

The primary objective of the pre-filing consultation is to enable both the applicant and the APA Team to assess the feasibility and suitability of entering into an APA. The issues to be discussed during the consultation, inter alia, include the following:

- (i) Determination of the nature and scope of the proposed agreement.
- (ii) Identification of relevant transfer pricing issues, including Functional, Asset and Risk (FAR) analysis.
- (iii) Discussion on the proposed Transfer Pricing Method (TPM) and determination of the ALP.
- (iv) Identification of the international transactions proposed to be covered under the APA.
- (v) Details of other international transactions not proposed to be covered; and
- (vi) Discussion on the broad terms of the agreement, including the manner of adjustment or variation, if any.

This is important to note that the discussions held during the pre-filing consultation shall not be binding on either party.

Anonymous Pre-filing Consultation

The applicant is permitted to request a pre-filing consultation on an anonymous basis. In such cases, details identifying the applicant may be omitted from the application form. However, where anonymity is sought, the identity of the authorized representative must be disclosed, along with sufficient information regarding the business operations and international transactions, so as to ensure that the consultation is meaningful.

The understanding reached on various issues during the pre-filing consultation shall be reduced to writing, and a copy of the same shall be provided to the applicant.

Form and Guidance

A request for a pre-filing consultation is required to be made in Form-3CEC. Although the form is largely self-explanatory, certain fields require careful attention and are supplemented by general guidance. The applicant is required to provide an overview of the group's global structure, which is preferably presented through a flow chart or diagram to ensure clarity. In



cases where the request is made on an anonymous basis, this information may be deferred, but it must be furnished subsequently along with the formal APA application.

The form also requires disclosure of associated enterprises with whom international transactions have been undertaken in recent years or are proposed to be undertaken, along with the nature of such transactions. While specific names may be omitted at the pre-filing stage in an anonymous request, these details must be provided at the time of filing the formal application. Further, the applicant is required to furnish information relating to the functional profile, assets employed, and risks assumed by itself and its associated enterprises. It is advisable to provide a comprehensive functional, assets, and risks (FAR) analysis in respect of the transactions proposed to be covered under the APA.

Details of the authorized representatives are also required to be provided, and it is generally advisable that such representatives hold a valid authorization from the applicant, except where the request is made anonymously. In addition, specific attention must be paid to the notes appended to the form, particularly those relevant to bilateral and multilateral APAs. Information relating to the existence of a tax treaty between India and the other country, as well as the availability of an APA program in that country, is required to be furnished at the pre-filing stage itself.

8.2. Procedure for Filing APA Application

Where, pursuant to the pre-filing consultation or otherwise, it is determined that entering into an APA is suitable, the applicant may file a formal application for entering into an APA in Form No. 3CED.

Payment of Fee

Before filing the application, the applicant is required to pay the prescribed fee, computed on the basis of the likely value of the international transaction(s) proposed to be covered during the period of the agreement, as under:

Value of International Transaction	Fee Payable
Not exceeding ₹100 crores	₹10 lakhs
Exceeding ₹100 crores but not exceeding ₹200 crores	₹15 lakhs
Exceeding ₹200 crores	₹20 lakhs



The filing fee for the rollback period in an Indian Advance Pricing Agreement (APA) is an additional **₹5 Lakhs**.

The fee shall be paid by electronic transfer directly to the Government account as follows:

- Account Name: **Indian Government APA A/c**
- Account Number: **50140531563**
- Bank: **Indian Bank, Parliament Street, New Delhi**
- IFSC Code: **IDIB000P582**

Proof of payment should be enclosed with **Form No. 3CED**. The fee paid is non-refundable, except where the application is not allowed to be proceeded with under Rule 10K.

Filing of Application

- In case of a Unilateral APA, the application shall be furnished in triplicate to the DGIT (International Taxation).
- In case of a Bilateral or Multilateral APA, the application shall be furnished in triplicate to the Competent Authority of India, i.e., the Joint Secretary (FT&TR-I), Ministry of Finance.

In cases of bilateral or multilateral APAs, the applicant or its AE must also initiate the APA process with the other country and submit evidence of the same to the Indian Competent Authority.

Time Limit for Filing

The application must be filed within the time prescribed under Rule 10I(3). Where the international transaction is of a continuing nature, the application must be filed before the first day of the previous year relevant to the first assessment year sought to be covered. However, where the transaction has not yet been undertaken, the application may be filed prior to undertaking such transaction.

In case pre-filing consultation is desired, applicants are advised to initiate the process well in advance to comply with the statutory timelines.

Guidance on drafting a complete APA Application Paper book

A well-drafted APA application should be comprehensive in scope, clearly setting out all relevant facts, transactions, and business arrangements, and should be supported by a robust and reasoned analytical framework.



It must present an accurate and transparent picture of the taxpayer's business model, functional profile, and transfer pricing position, supported by appropriate economic and financial analysis.

Such a carefully prepared application forms the foundation of constructive engagement with the tax authorities and plays a decisive role in achieving long-term certainty, consistency, and predictability in the taxation of transfer pricing matters.

Drafting an APA application begins with a clear understanding of the statutory framework governing APAs, namely sections 92CC and 92CD of the Income-tax Act, 1961, read with Rules 10F to 10T of the Income-tax Rules, 1962.

The applicant must ensure that the application strictly conforms to the requirements prescribed in **Form No. 3CED**, as non-compliance may result in rejection or delays in processing.

Following are the important steps to draft a complete application including Form 3CED:-

vi. Furnishing basic particulars of the applicant

The application should commence with complete and accurate particulars of the applicant, including its name, address, PAN, legal status, and nature of business. Details of associated enterprises involved in the covered international transactions must also be provided, specifying their country of residence, relationship with the applicant, and the nature of activities undertaken by them. This section should clearly explain the group structure and the role of each entity.

vii. Detailed description of international transactions and Industry overview

The applicant is required to provide a clear and comprehensive description of each international transaction proposed to be covered under the APA. This includes the nature of the transaction, the flow of goods, services, intangibles or funds, and the value of such transactions. The description should be consistent with the applicant's transfer pricing documentation, inter-company agreements and financial statements. The content of application should also contain industry overview of the covered transaction.

viii. Preparation of Functional, Asset and Risk (FAR) analysis and Economic overview

FAR analysis is a fundamental concept in transfer pricing used to determine whether transactions between associated enterprises are



conducted at arm's length. It is based on the principle that profits should be aligned with value creation. FAR analysis examines the real economic activities of each party to understand who performs the key functions, who employs or owns the assets, and who assumes the risks in a controlled transaction.

The **functions performed** component focuses on the nature and complexity of activities carried out by each entity, such as manufacturing, research and development, marketing, distribution, after-sales support, and strategic decision-making. Entities performing more complex, economically significant, and decision-driven functions are generally entitled to higher returns than those carrying out routine or support activities.

The **assets employed** aspect identifies the resources used by the entities in performing their functions. These include tangible assets like plant, machinery, and equipment, as well as intangible assets such as patents, trademarks, brand value, technical know-how, and specialized human capital. Ownership and effective use of valuable intangibles are particularly important, as they often justify a higher share of profits.

The **risks assumed** element evaluates which party bears the economic consequences of uncertainty, including market risk, credit risk, inventory risk, foreign exchange risk, product liability risk, and research and development risk. In transfer pricing, risk allocation depends not merely on contractual terms but on which entity actually controls the risk and has the financial capacity to bear it.

Overall, FAR analysis is used to correctly characterize entities, select the most appropriate transfer pricing method, identify suitable comparables, and justify profit allocation during APA negotiation. By analyzing functions, assets, and risks together, tax authorities and taxpayers can ensure that inter-company pricing reflects economic reality and complies with the arm's length principle.

A detailed FAR analysis forms the core of the APA application. Based on this analysis, the applicant should clearly characterize the entities involved, such as a routine service provider, distributor, or manufacturer, and establish the economic rationale for the proposed pricing approach. Economic overview of the industry in which the taxpayer operates, and the economic conditions affecting pricing, profitability, costs, and risks during the relevant year(s) must be incorporated suitably.



ix. Selection of the transfer pricing methodology

Based on the Functional, Asset and Risk (FAR) analysis, the applicant is required to identify the most appropriate transfer pricing method for benchmarking the covered international transactions. The selection of the method must be justified by demonstrating its suitability in light of the functions performed, assets employed, and risks assumed by the applicant vis-à-vis the associated enterprise. The application should clearly explain why the chosen method provides the most reliable measure of an arm's length outcome under the given facts and circumstances.

In addition to justifying the selected method, the applicant should provide reasoned explanations for rejecting alternative transfer pricing methods. Such explanations should address the limitations of other methods, including the absence of reliable data, lack of comparability, or inconsistency with the economic characterization of the parties. This comparative evaluation reinforces the robustness and objectivity of the method selection process.

The application must further specify the profit level indicator (PLI) used for applying the selected method and justify its appropriateness with reference to the value drivers of the transaction and the FAR profile of the tested party. The PLI should reliably reflect the relationship between profits and the economically relevant base, such as costs, sales, or assets.

The applicant should also outline the approach adopted for the selection of comparable uncontrolled transactions or companies, including the search strategy, qualitative and quantitative filters, and criteria for inclusion or exclusion. Where necessary, the application should describe the adjustments made to enhance comparability, such as working capital or capacity utilization adjustments, and explain the rationale and methodology for such adjustments.

Overall, the proposed transfer pricing methodology should be internally consistent, reasonable, and economically defensible, ensuring that the pricing outcomes are aligned with the arm's length principle and capable of being applied consistently over the proposed APA term.

x. Identification and disclosure of critical assumptions

The identification and disclosure of critical assumptions is a critical requirement, as these assumptions form the foundation on which the agreed transfer pricing methodology rests. Critical assumptions are the key economic, legal, operational, and financial conditions that are expected



to remain unchanged during the APA term. They ensure transparency between the taxpayer and the tax authorities and help maintain certainty in the application of the arm's length principle, in line with the OECD Transfer Pricing Guidelines and the Indian APA framework.

Critical assumptions typically relate to factors such as the business model, functions, assets, and risks (FAR profile) of the parties, market conditions, level of competition, regulatory environment, pricing policies, and availability of comparables. For example, assumptions may include continuity of business operations, no significant change in ownership of intangibles, stable demand conditions, or the absence of extraordinary events such as mergers, acquisitions, or major economic disruptions. These assumptions are considered "critical" because any material change in them may affect the reliability of the agreed transfer pricing method.

The APA application must clearly identify and fully disclose all such critical assumptions in a structured and unambiguous manner. This disclosure enables the tax authorities to assess whether the proposed methodology would remain valid over the APA period. It also creates a shared understanding that the APA outcome is contingent upon these assumptions holding true. Failure to properly disclose critical assumptions can lead to disputes, revision of the APA terms, or even cancellation of the APA.

Importantly, most APA frameworks provide that if a critical assumption fails, the taxpayer must promptly inform the tax authorities. Depending on the nature and impact of the change, the APA may be revised, renegotiated, or terminated. Thus, identification and disclosure of critical assumptions not only support certainty and predictability in transfer pricing but also safeguard both the taxpayer and the revenue authorities by clearly defining the conditions under which the APA remains valid.

xi. Determination of APA period and rollback years

The application should clearly specify the period for which the APA is sought, which may extend up to five consecutive previous years. Where the applicant seeks the benefit of rollback provisions, the rollback years should be expressly mentioned, along with confirmation that the statutory conditions for rollback are satisfied. Maximum rollback period allowed in four years.

xii. Selection of the type of APA

The applicant must indicate whether a unilateral, bilateral, or multilateral APA is being sought. In the case of a bilateral or multilateral APA, the



relevant tax treaty partner country or countries should be identified, and the need for such an APA, particularly to avoid double taxation, should be briefly explained.

xiii. Compilation of supporting documents

The application should be supported by relevant documents such as inter-company agreements, financial statements, and transfer pricing study reports, and industry or economic analyses. These documents should be internally consistent and properly cross-referenced with the information provided in the application. All relevant intercompany agreement for covered transactions must be annexed with the APA application and Transfer pricing reports for rollback years are must.

xiv. Ensuring appropriate tone and final submission

The tone of the submission should be professional, objective, and consistent, reflecting transparency, cooperation, and credibility. Language used must be clear and precise, avoiding aggressive positions, speculative statements, or unsupported assertions. The narrative should align with facts, agreements, and economic analysis, ensuring that representations made to the tax authorities are balanced and defensible.

Before final submission, the entire document should be reviewed for internal consistency, accuracy of data, and coherence between different sections such as the business description, FAR analysis, economic analysis, and critical assumptions. All disclosures should be complete, properly cross-referenced, and supported by relevant agreements, financial statements, and working papers. Particular attention should be paid to ensuring that the proposed transfer pricing methodology logically flows from the factual and economic analysis presented.

The final submission process should also include a technical and compliance check, confirming adherence to applicable rules, prescribed formats, timelines, and documentation requirements under the APA framework.

Overall, ensuring an appropriate tone and a carefully reviewed final submission enhances the credibility of the APA application, facilitates constructive engagement with tax authorities, and reduces the risk of misunderstandings or delays during the APA process.

xv. Signing of APA application

As per section 140 of the Income-tax Act, 1961, an APA application, being an income-tax related proceeding, must be signed and verified by the



same persons who are authorized to sign and verify returns of income. In the case of a company, section 140 provides that the application shall be signed by the Managing Director. Where there is no Managing Director, it may be signed by any Director of the company. If, due to unavoidable circumstances, neither the Managing Director nor any Director is able to sign, the application may be signed by any other person duly authorized by the company, such as a principal officer, provided proper authorization (for example, a board resolution) is in place.

Thus, in line with section 140, the primary responsibility to sign the APA application for a company rests with the Managing Director, and in his absence, with any Director, ensuring that the application carries legal validity and binds the company to the statements, assumptions, and commitments made therein.

A well-prepared APA application in paper book form, being comprehensive, coherent, and fact-based, plays a vital role in facilitating informed negotiations and achieving certainty under the APA mechanism

The paper book should be neatly compiled, properly indexed, and clearly page-numbered. Both physical and electronic versions may be prepared, as required. The paper book is submitted to APA wing of CBDT and is used throughout the examination and negotiation stages.

8.3. Acceptance/ Rejection of an APA Application

The preliminary processing of an APA application is required to be carried out strictly in accordance with the provisions of Rule 10K of the Income-tax Rules, 1962. Where, upon such preliminary examination, the application is found to be defective, or where any relevant document has not been attached, and the defect is not rectified within the time allowed, or where the application is not in conformity with the understanding reached during the pre-filing consultation as contemplated under Rule 10H, the application may be rejected. However, before rejecting the application, the applicant must be provided with a reasonable opportunity of being heard. In cases where the application is rejected at this stage, the fee paid by the applicant shall be refunded. It is further clarified that, except for the circumstances expressly provided under Rule 10K, the APA application shall not be rejected on any other ground.

Rule 10K(2) specifically provides that an APA application may be rejected where it is not in accordance with the understanding reached during the pre-filing consultation. Such understanding may, for instance, relate to



the feasibility of entering into a bilateral or multilateral APA, which may be possible only if certain specified conditions are fulfilled. An illustration of such conditions may include the willingness of the relevant foreign competent authority to engage in APA discussions, the existence of a corresponding transaction in the other jurisdiction, and the applicant's agreement to pursue a bilateral or multilateral approach rather than a unilateral APA.

8.4. Action by Applicant or TPO during pendency of APA Application

Since the processing and negotiation of an APA application is a time-consuming exercise, it is possible that during the pendency of the APA proceedings, the assessment proceedings by the Assessing Officer (AO) or the transfer pricing audit proceedings by the Transfer Pricing Officer (TPO) in respect of the assessment year(s) covered under the APA may be initiated or required to be completed.

It is clarified that such proceedings by the AO or the TPO shall continue independently, without taking cognizance of the fact that an APA process has been initiated for the relevant year(s). The mere filing of an APA application shall not have any impact on the statutory actions required to be taken by the AO or the TPO under the provisions of the Act.

Further, the taxpayer shall continue to maintain all prescribed documents and furnish all reports required under the Income-tax Act, 1961, until the modified return is filed pursuant to the finalization of the APA.

8.5. Amendment to APA Application

The applicant may, at any time before the finalization of the terms of the APA, make a written request seeking amendment to the APA application. Such amendment may be allowed:

- By the DGIT (International Taxation) in the case of a unilateral APA; or
- By the Competent Authority of India, in consultation with the Competent Authority of the other country or countries, in the case of a bilateral or multilateral APA,

Provided that such amendment does not have the effect of altering the nature of the original application.

Where the amendment results in an increase in the applicable fee, the applicant shall be required to pay the additional fee accordingly. It is



clarified that a request for conversion of a unilateral APA into a bilateral or multilateral APA shall not be regarded as altering the nature of the original application.

8.6. Assignment of an APA Application to the APA Team

Where an APA application is allowed to be proceeded with under Rule 10K, the same shall be dealt with in the following manner:

(a) Unilateral APA

In the case of a unilateral APA application, the DGIT (International Taxation) shall assign the application to one of the APA Teams. The APA Team shall examine and analyze the application in detail, issue questionnaire to the applicant, prepare a position paper and undertake negotiations with the applicant with a view to arriving at a mutually acceptable position.

Where mutual agreement on the relevant issues is arrived at, the APA Team shall prepare a mutually agreed draft agreement and place the same before the DGIT (International Taxation). Upon being satisfied, the DGIT shall forward the draft agreement to the Board for its consideration.

(b) Bilateral / Multilateral APA

In the case of a bilateral or multilateral APA, the Competent Authority of India shall forward the application to the DGIT (International Taxation) for necessary enquiry, analysis, and preparation of a draft Indian position paper. The DGIT shall assign the matter to the APA Team, which shall carry out detailed examination and analysis and prepare the draft Indian position paper in consultation with the DGIT, the Competent Authority (or its representatives), and the applicant.

The finalized draft Indian position paper shall then be forwarded by the DGIT (International Taxation) to the Competent Authority of India.

8.7. Examination and Analysis of an APA Application

Since proper functional analysis, determination of the appropriate transfer pricing methodology, examination of critical assumptions, and specification of the manner in which the arm's length price is to be determined are central to the success of the APA program, Rule 10L(2) confers wide powers on the APA Team and the Competent Authority.



Accordingly, they may:

- Hold meetings with the applicant;
- Call for additional documents or information;
- Visit the applicant's business premises (called site visit); and
- Make such enquiries as may be considered necessary.

The applicant is expected to extend full cooperation during this process. The APA Team shall conduct a detailed functional analysis and examine the application in a fair, reasonable, and objective manner, taking into consideration all evidence and information furnished by the applicant or otherwise gathered.

8.8. Conversion of APA Application Unilateral to Bilateral

A unilateral APA application may be converted into a bilateral APA application at any time before the mutually agreed draft agreement is forwarded by the DGIT (International Taxation) to the Board.

For this purpose, the applicant or its associated enterprise must also make a corresponding request to the Competent Authority of the other country. The bilateral request shall be forwarded by the DGIT to the Competent Authority of India.

The Competent Authority of India shall decide on the admissibility of such request, having regard to:

- The existence of appropriate treaty provisions similar to Article 9(2) of the OECD Model Convention; and
- The existence of an APA program in the other country.

If the request is allowed, the application shall thereafter be processed as a bilateral APA application.

8.9. Entering into Unilateral APA

Upon receipt of the mutually agreed draft agreement, the Board, with the prior approval of the Central Government, may enter into an APA with the assessee. The APA shall be signed on behalf of the assessee by the person who is competent to sign the return of income. As a matter of practice Board Resolution is required for the person signing the APA.



The terms of the APA shall be in accordance with Rule 10M. Once the APA is entered into, the DGIT (International Taxation) shall forward a copy of the agreement to the Commissioner of Income-tax having jurisdiction over the applicant.

It is pertinent to note that once a unilateral APA has been entered into, MAP benefits shall not be available to the assessee in respect of the covered transactions.

8.10. Negotiation by the Competent Authority in Bilateral/Multilateral APA and Execution of the APA

Upon receipt of the draft Indian position paper, the Competent Authority of India shall initiate negotiations with the Competent Authority (ies) of the other country or countries in accordance with the provisions of Rule 44GA of the Income-tax Rules, 1962.

During the course of such negotiations, the Competent Authority of India shall be at liberty to deviate from the draft Indian position paper, if necessary, in order to arrive at a mutually negotiated settlement. For this purpose, the Competent Authority may require the applicant to furnish additional information and may conduct such enquiries as it considers appropriate.

The applicant shall not be a party to the negotiations between the Competent Authorities. However, the applicant may be consulted by the Indian Competent Authority wherever such consultation is considered necessary.

On successful completion of negotiations, the Competent Authority of India shall formalize a Mutual Agreement Procedure (MAP) arrangement with the Competent Authority (ies) of the other country or countries and shall intimate the same to the applicant. The applicant is required to convey its acceptance or otherwise of the MAP arrangement within 30 days of receipt of such communication.

Where the applicant accepts the MAP arrangement, the Competent Authority of India and the applicant shall prepare a mutually agreed draft agreement, and thereafter, with the approval of the Central Government, the Board shall enter into the APA with the assessee. On behalf of the assessee, the APA shall be signed by the person who is competent to sign the return of income. The terms of the APA shall be in accordance with Rule 10M.



Once the APA has been entered into, the Competent Authority of India shall forward a copy of the agreement to the Commissioner of Income-tax having jurisdiction over the assessee.

In the event of failure to reach a MAP arrangement, the applicant shall be informed accordingly. However, the applicant shall have the option to convert the request for a bilateral or multilateral APA into a unilateral APA, without payment of any additional fee, by informing the Competent Authority of India in writing.

In such cases, the Competent Authority of India shall forward all information and documents (except those received from the foreign Competent Authority and protected by the confidentiality provisions of the relevant DTAA) to the DGIT (International Taxation), who shall thereafter examine the request for unilateral APA in accordance with the prescribed procedure.

8.11. Post APA Compliance by the Assessee

Where, in respect of an assessment year covered under the APA, a return of income has been filed prior to the date of entering into the APA, the assessee shall, within three months of entering into the APA, file a modified return in accordance with, and limited to, the terms of the APA. Such modified return shall be deemed to be a return filed under section 139, and all provisions of the Act shall apply accordingly.

Where the assessment or reassessment proceedings for the relevant assessment year(s) are pending on the date of entering into the APA, the Assessing Officer shall complete such assessment or reassessment in accordance with the APA, taking into consideration the modified return so furnished.

Where the assessment or reassessment has already been completed, the Assessing Officer shall reassess or recompute the total income of the relevant assessment year having regard to, and in accordance with, the APA.

It is clarified that an assessment year may involve multiple international transactions, and not all such transactions may be covered under the APA. The assessment of international transactions not covered by the APA shall remain unaffected by the entering into of an APA.

Where a reference to the Transfer Pricing Officer (TPO) is pending in respect of any covered transaction, the Assessing Officer shall inform the



TPO immediately upon filing of the modified return by the assessee. Upon receipt of such communication, the TPO shall not proceed further with the audit of the covered transaction.

Similarly, where a covered transaction is pending before the Dispute Resolution Panel (DRP), the Assessing Officer shall inform the DRP immediately after filing of the modified return. Upon such intimation, the DRP shall not issue any direction in respect of the covered transaction.

In this regard, attention is invited to Rule 10P(6), which provides that regular audit of covered transactions shall not be undertaken by the TPO once an agreement has been entered into under Rule 10L, except where the agreement has been cancelled under Rule 10R.

The procedures consequent upon the filing of the modified return, in respect of the covered transactions for the assessment years included in the term of the APA, shall include:

- (i) Withdrawal of any appeal pending before the Commissioner of Income-tax (Appeals) by the assessee in respect of the covered transaction(s);
- (ii) Withdrawal of appeals filed before the ITAT, High Court or Supreme Court by both the department and the assessee in respect of the covered transaction(s); and
- (iii) Withdrawal of objections filed before the DRP by the assessee in respect of the covered transaction(s), as the Assessing Officer shall not make any adjustment except in accordance with the APA.

8.12. Annual Compliance Report

The requirement to furnish an Annual Compliance Report(ACR) is prescribed under the Income-tax Rules, 1962. Once an APA is executed, the taxpayer is required to file the ACR for each year covered by the APA, including rollback years, within the prescribed time limit. The ACR is filed with the jurisdictional APA authorities under the supervision of the Central Board of Direct Taxes (CBDT) and must be duly verified and certified as required under the rules.

Failure to file the ACR within the stipulated time, or filing an incomplete or inaccurate report, may expose the taxpayer to the risk of revision or cancellation of the APA.

Contents of the Annual Compliance Report



The ACR is not a mere procedural formality; it is a substantive compliance document. It typically contains the following elements:

- Confirmation that the taxpayer has complied with the terms and conditions of the APA during the relevant year,
- Disclosure of actual transaction values and pricing outcomes,
- Demonstration that the agreed transfer pricing method and profit level indicators have been correctly applied,
- Confirmation that all critical assumptions remain valid,
- Disclosure of any material changes in facts, business model, or operating conditions,
- Computation of margins or prices vis-à-vis the arm's length range agreed under the APA.

The ACR must be consistent with the taxpayer's books of account, financial statements, and other statutory filings.

Consequences of Non-Compliance or Misreporting

Non-compliance with APA conditions, including deficiencies in the ACR, may have serious consequences. Depending on the nature and gravity of the lapse, the tax authorities may:

- Seek corrective action or additional disclosures,
- Revise the APA prospectively,
- Cancel the APA in cases of material breach, or
- Withdraw rollback benefits for prior years.

In cases involving wilful misrepresentation or suppression of material facts, the APA may be declared void ab initio.

The Annual Compliance Report is the basis of the post-execution phase of an APA. While the negotiation and execution of an APA attract considerable attention, it is the ACR that sustains the agreement year after year. Proper preparation of the ACR requires coordination between tax, finance, and operational teams to ensure consistency, accuracy, and completeness.

The assessee shall file an Annual Compliance Report in quadruplicate in Form No. 3CEF with the DGIT (International Taxation) for each year covered under the APA. The filing of the Annual Compliance Report shall be governed by Rule 100.



The report shall be filed within 30 days of the due date for filing the return of income for the relevant assessment year, or within 90 days of entering into the APA, whichever is later. The filing of the Annual Compliance Report is in addition to the requirement of filing a modified return.

8.13. Compliance Audit of the Agreement

The compliance audit shall be conducted by the jurisdictional Transfer Pricing Officer in accordance with Rule 10P. The scope of the compliance audit shall be limited to verifying:

- Compliance with the terms and conditions of the APA;
- Fulfilment of the critical assumptions specified therein; and
- Consistency in the application of the agreed Transfer Pricing Method (TPM).

The TPO shall submit the compliance audit report to the DGIT (International Taxation) in case of a unilateral APA, and to the Competent Authority of India in case of a bilateral or multilateral APA.

8.14. Cancellation and Revision of an APA

The cancellation and revision of an APA shall be governed by Rules 10Q and 10R respectively. In the case of a revised APA, the procedure applicable to the original APA shall be followed.

Accordingly, the assessee shall be required to file a modified return for the period subsequent to the revision of the APA within three months, and the Assessing Officer shall reassess or recompute the total income of the relevant assessment year in accordance with the revised APA.

Withdrawal of an Advance Pricing Agreement (APA) application is permitted under the APA Scheme in accordance with the provisions of Rule 10K of the Income-tax Rules, 1962. An applicant may withdraw the APA application at any time before the APA is entered into, by making a written request to the competent APA authority.

The withdrawal may be sought for various reasons, such as change in business circumstances, reconsideration of the transfer pricing position, inability to agree on the proposed methodology, or strategic business decisions. Upon receipt of the withdrawal request, the APA authorities may allow the withdrawal after due consideration.

It is important to note that where an APA application is withdrawn, the application **fee paid is not refundable**, irrespective of the stage at which the withdrawal is made. Further, withdrawal of the application does not prejudice the rights of the income-tax authorities to examine the international transactions under the regular transfer pricing provisions during assessment proceedings.

In the case of a bilateral or multilateral APA, the withdrawal of the application may also require communication with the competent authority of the relevant treaty country or countries, as applicable. The withdrawal brings the APA proceedings to an end, and the taxpayer's international transactions thereafter continue to be governed by the normal provisions of the Income-tax Act, 1961.

Any facts, information, or statements furnished by the applicant in connection with the APA request, whether at the time of filing the application or during its processing, must be true, correct, and complete.

Where the APA Team or the Competent Authority requires additional information for processing or negotiation of the agreement, the applicant shall furnish such information within the time specified.

During the pendency of the APA request, the applicant has a continuing obligation to update all material facts and information submitted earlier. Failure to furnish complete and timely information may result in significant delay and may ultimately lead to non-finalization of the APA.

Significance of Critical Assumption

- (i) The term “**critical assumptions**” is defined in Rule 10F(f) and refers to factors and assumptions which are so critical and significant that the agreement shall cease to bind the parties if any such assumption changes.
- (ii) Decisions regarding the determination of ALP or the suitability of a particular transfer pricing methodology are made on the basis of facts existing at the relevant time. Where such facts are fundamental to the decision, any material change therein may affect the ALP or the appropriateness of the methodology.
- (iii) Critical assumptions shall be expressly specified in the terms of the APA and may include operational, legal, tax, financial, accounting, or economic conditions or assumptions.
- (iv) During the compliance audit, the TPO shall examine whether the critical assumptions specified in the APA have been satisfied.
- (v) In the event of breach of critical assumptions, the assessee or the TPO shall notify the DGIT (International Taxation) in case of a unilateral APA, or the Competent Authority in case of a bilateral or multilateral APA, at the earliest, along with supporting documents.
- (vi) The Board, DGIT (International Taxation), or the Competent Authority may, on its own motion, seek revision or cancellation of the APA upon noticing breach of critical assumptions, after due consultation with the assessee.
- (vii) Where breach of critical assumptions cannot be remedied by revision acceptable to all parties, including foreign Competent Authorities, the APA shall be liable to be cancelled.

An APA is binding on the assessee in respect of covered transactions and on the Commissioner of Income-tax and all subordinate income-tax authorities. Where the assessee complies with the terms of the APA, the tax administration shall not dispute the ALP or the application of the TPM for the years covered.

An APA shall cease to be binding in the following circumstances:

- Where there is a change in law or facts having a bearing on the agreement [section 92CC(6)];
- Where the agreement has been obtained by fraud or misrepresentation of facts, rendering it void ab initio [section 92CC(7)];
- Where there is a breach of critical assumptions or non-compliance with conditions of the agreement [Rule 10M(4)]; or
- Where the agreement is cancelled under Rule 10R.

(i) Eligibility for Renewal

Upon the expiry of the validity period of an Advance Pricing Agreement, the taxpayer may seek renewal of the APA by filing a fresh application with the Director General of Income-tax (International Taxation) and, in the case of a bilateral or multilateral APA, with the Competent Authority of India. Renewal is generally sought where the nature of international transactions, business model, and transfer pricing issues continue to remain substantially unchanged.

(ii) Form and Procedure for Renewal

The application for renewal is required to be filed in the same prescribed form and in accordance with the same procedural requirements as an original APA application under the APA Scheme. However, pre-filing consultation is not mandatory for renewal applications, as the tax authorities are already familiar with the applicant's business and prior APA.

(iii) Treatment as Fresh Application

A renewal request is treated as a fresh APA application and not as an automatic extension of the existing agreement. Accordingly, the prescribed application fee, documentation requirements, and scrutiny process apply in full. The tax authorities may re-examine the proposed methodology, comparables, and assumptions in light of any changes in facts, economic circumstances, or law.

(iv) Scope of Review by Tax Authorities

While considering the renewal application, the tax authorities are not bound to renew the APA on identical terms as the earlier agreement. They may propose modifications to the pricing methodology, critical assumptions, or scope of transactions if considered necessary to ensure arm's length outcomes.

(v) Timing of Renewal Application

Taxpayers are advised to file the renewal application well in advance of the expiry of the existing APA. Timely filing helps ensure continuity of tax certainty and avoids any gap during which the transactions may otherwise be subject to regular transfer pricing assessments and potential disputes.

Suitability of an APA refers to the **appropriateness of entering into an APA** given the taxpayer's business model, transaction profile, risk exposure, and long-term objectives. APAs are not universally optimal and must be evaluated strategically.

Factors Indicating High Suitability for an APA

An APA is particularly suitable in the following circumstances:

(i) Recurring and Material Transactions, where transactions:

- Occur regularly over multiple years, and
- Are significant in value or tax impact,

an APA ensures long-term certainty and administrative efficiency.

(ii) High Litigation or Audit Risk businesses facing:

- Frequent transfer pricing adjustments,
- Aggressive audit positions, or
- Exposure to double taxation can use APAs as a **risk mitigation mechanism**.

(iii) Complex Functional and Risk Profiles

APAs are well-suited for:

- Complex supply chains,
- Intangible-rich business models,
- Integrated global operations, where traditional audits may fail to capture economic reality.

14.1. Situations Where APA May Be Less Suitable

An APA may be less appropriate where:

- Transactions are short-term or non-recurring,
- Business models are undergoing rapid change,



- Cost of APA outweighs expected benefits,
- Reliable comparables are unavailable.

In such cases, alternative mechanisms such as safe harbour rules or traditional documentation may be more efficient.

14.2. Cost-Benefit and Strategic Considerations

While an Advance Pricing Agreement (APA) is a powerful instrument for achieving transfer pricing certainty, entering into an APA entails a careful evaluation of its **costs, benefits, and strategic implications**. The APA process is resource-intensive and demands a high degree of preparation, transparency, and long-term commitment from the taxpayer. Significant effort is required at the application stage to develop a detailed functional, asset, and risk (FAR) analysis, prepare robust economic and benchmarking studies, and compile comprehensive documentation explaining the business model and covered transactions. In addition, the APA regime requires **extensive disclosures**, including sensitive commercial and financial information, which necessitates strong internal coordination and governance. The process is also time-consuming, particularly in the case of bilateral or multilateral APAs, where negotiations between tax administrations may extend over several years.

Despite these costs, the benefits of an APA often outweigh the associated efforts in cases where the facts and transaction profile are suitable. The most significant advantage of an APA is the **certainty of tax outcomes** for the covered period, which enables taxpayers to plan their business operations and financial results with greater confidence. This certainty also substantially reduces exposure to transfer pricing adjustments, interest, and penalties. Over time, APAs lead to a **reduced compliance burden**, as transactions covered by the agreement are insulated from repetitive audits and litigation, subject to annual compliance reporting.

From a strategic perspective, APAs contribute to an **improved and more cooperative relationship with tax authorities**, shifting the interaction from an adversarial audit-based approach to one founded on transparency and mutual understanding. This collaborative framework not only enhances trust but also facilitates smoother resolution of future tax issues. Consequently, when evaluated holistically, APAs represent not merely a compliance mechanism, but a **strategic tax risk management tool**, particularly valuable for taxpayers with recurring, complex, and high-value cross-border transactions.



14.3. Strategic Importance of APAs in Indian Context

In India's litigation-heavy transfer pricing environment, APAs serve as a **strategic compliance tool** rather than a mere procedural option. Their suitability must be evaluated not only from a tax perspective, but also from:

- Governance,
- Risk management, and
- Long-term business planning standpoints.

The scope of covered transactions under an APA is deliberately wide, enabling taxpayers to address a broad range of transfer pricing issues proactively. However, the decision to pursue an APA must be guided by **careful assessment of suitability**, balancing complexity, certainty, and strategic value.

When appropriately chosen and structured, an APA represents one of the most effective mechanisms for achieving **transfer pricing certainty and dispute prevention** in India.

CRITICAL ISSUES AND CHALLENGES IN THE INDIAN APA PROGRAM

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The Advance Pricing Agreement (APA) program introduced in India has been widely acknowledged as a successful dispute-prevention mechanism in the area of transfer pricing. Since its inception, the program has significantly enhanced tax certainty, reduced litigation, and strengthened trust between taxpayers and the tax administration.

However, the APA process is inherently time-consuming, as it involves detailed examination of the taxpayer's business model, FAR analysis, economic benchmarking, and extensive discussions between the taxpayer and the tax authorities. In the case of bilateral and multilateral APAs, the process becomes even more prolonged due to the involvement of foreign competent authorities and the need for consensus through mutual agreement procedures. In addition to the procedural complexity, the APA program has also been affected by a **significant backlog of pending cases**, which has further extended processing timelines. The accumulation of applications, coupled with limited administrative capacity and the intensive nature of negotiations, has resulted in delays in finalizing APAs, thereby impacting the objective of providing timely tax certainty to taxpayers.

Though, with the increasing maturity and scale of the APA framework, certain structural, procedural, and regulatory challenges have emerged, which merit closer examination to ensure the continued effectiveness and efficiency of the program.

(i) Challenges Arising from Business Reorganizations

One of the most significant challenges in the APA framework relates to its applicability in cases of **business reorganizations**, such as mergers, demergers, amalgamations, and restructuring. An APA is a legal agreement between a specific taxpayer and the tax authorities for determining the arm's length price of covered international transactions. Unlike commercial contracts, which typically include clauses allowing automatic continuation or assignment of rights and obligations to successor entities, the APA regulations do not provide for such enabling provisions.



CBDT Circular No. 10/2015 clarifies that, in the event of a merger, the benefit of APA rollback is available only if the original APA applicant continues to exist post-reorganization. Entities that merge into the surviving company are not entitled to claim rollback benefits. Similarly, where a business segment covered by an APA is demerged into a new entity, the resultant entity is required to file a **fresh APA application**. This approach creates substantial compliance challenges for taxpayers, particularly large multinational groups that frequently undertake corporate restructuring for commercial reasons.

The requirement to file a fresh application not only involves duplication of effort but also entails payment of a new application fee and re-engagement with the APA authorities, despite the underlying transactions and transfer pricing positions remaining unchanged. From an administrative perspective, this also places additional strain on the already resource-constrained APA teams. The absence of provisions permitting continuity or transfer of APA benefits in qualifying reorganizations thus undermines the objective of providing long-term certainty and efficiency.

(ii) Scope and Conduct of Annual Compliance Report (ACR) Audits

Another key challenge relates to the **audit of the Annual Compliance Report (ACR)** filed by taxpayers after the conclusion of an APA. The primary purpose of the ACR audit is to verify whether the taxpayer has complied with the agreed terms and conditions of the APA. However, in practice, it is often observed that the scope of ACR audits is expanded by Transfer Pricing Officers (TPOs) to resemble a full-scale transfer pricing audit.

Such an expansive approach defeats the very purpose of the APA mechanism, as the taxpayer has already undergone a detailed factual, functional, and economic examination during the APA negotiation stage. The repetition of scrutiny not only increases compliance burden but also creates uncertainty and frustration for taxpayers who had entered into the APA with the expectation of reduced audit exposure.

Further, instances of **divergent interpretations of APA terms** by TPOs during ACR audits have been reported. Despite the APA terms being carefully negotiated and finalised by specialised APA teams, interpretational differences at the audit stage give rise to anxiety for taxpayers, even if such differences do not ultimately result in a finding of non-compliance. These issues highlight the need for stronger institutional



coordination between APA teams and TPOs, either by empowering APA teams to conduct ACR audits or by establishing a formal consultation mechanism to resolve interpretational issues.

An additional concern is the **lack of communication of ACR audit outcomes to taxpayers**. While the findings of the ACR audit are required to be reported to higher authorities within the tax administration, there is no formal requirement to inform the taxpayer of satisfactory completion or otherwise. This leaves taxpayers in a prolonged state of uncertainty, which is inconsistent with the certainty-driven philosophy of the APA program.

(iii) Practical Difficulties in APA Renewal

The APA framework allows taxpayers to apply for renewal of an APA for a further period of five years upon expiry of the original agreement. The underlying intent of the renewal mechanism is to leverage the significant time and effort invested by both taxpayers and tax authorities in negotiating the initial APA. However, in practice, this intent is not always achieved.

In several cases, APA authorities undertake a **fresh review and renegotiation of positions** that were already agreed upon under the original APA, even where there has been no material change in facts, functions, risks, or economic circumstances. This approach effectively converts the renewal process into a fresh APA, thereby eroding the efficiencies that renewal provisions were intended to achieve. As a result, taxpayers may perceive limited value in seeking renewal, particularly when the certainty promised by continuity is not assured.

A more structured and streamlined renewal process, similar in spirit to rollback provisions, would better align with the objective of long-term certainty and reduce unnecessary duplication of effort.

(iv) Need for Regulatory Fine-Tuning

While the APA program has been largely successful, the challenges discussed above point to the need for targeted regulatory refinements rather than a fundamental overhaul. Introducing provisions to allow continuity of APA benefits in cases of qualifying business reorganizations, clearly defining the scope of ACR audits, ensuring transparent communication of audit outcomes, and streamlining renewal procedures would substantially enhance the effectiveness of the program.



The Indian APA program stands as a basis of India's non-adversarial tax administration and has played a vital role in reducing transfer pricing disputes and enhancing tax certainty. However, as the program matures, certain procedural and regulatory limitations have become evident. Addressing challenges relating to business reorganizations, ACR audits, and APA renewals through focused reforms would not only reduce compliance burdens but also strengthen taxpayer confidence and ensure that the APA mechanism continues to fulfil its intended role as an efficient and forward-looking dispute-prevention tool.

RECENT UPDATE ON APA PROGRAM OF INDIA

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Since its inception, the APA program has witnessed steady growth and increasing acceptance among taxpayers, particularly multinational enterprises (MNEs). As on **31 March 2025**, a total of **815 APAs** have been entered into by the Central Board of Direct Taxes (CBDT), reflecting widespread taxpayer confidence in the program.

The APA program has cumulatively provided tax certainty for **over 4,400 assessment years**, including rollback years. This achievement is particularly significant in the Indian context, where transfer pricing disputes have historically constituted a substantial portion of tax litigation. The program has therefore played a vital role in decongesting appellate forums and reducing the compliance burden on both taxpayers and the tax administration.

(i) Highlights of FY 2024–25

Financial year 2024–25 stands out as a **record-breaking year** for the Indian APA program. During the year, the CBDT signed **174 APAs**, the highest number ever signed in a single financial year since the program's launch. This included:

- **109 Unilateral APAs (UAPAs)**, and
- **65 Bilateral APAs (BAPAs)**, including **India's first Multilateral APA (MAPA)**.

The bilateral agreements were concluded with several key treaty partners, including the **United States, United Kingdom, Japan, Singapore, Australia, South Korea, the Netherlands, and New Zealand**, underscoring India's growing engagement with international tax authorities under the Mutual Agreement Procedure (MAP).

The APAs signed during FY 2024–25 alone provided certainty for approximately **970 assessment years**, demonstrating the program's substantial impact even within a single year.

(ii) Applications Filed and Status Analysis

Up to 31 March 2025, a total of **2,062 APA applications** had been filed since inception. Out of these:



- **815 applications** culminated in signed agreements,
- **389 applications** were disposed of for other reasons (including withdrawals), and
- **858 applications** remained under processing.

A notable trend observed in recent years is the **increase in Bilateral APA filings**, indicating greater taxpayer preference for mechanisms that eliminate double taxation and provide certainty in both jurisdictions. In FY 2024–25 alone, **90 new BAPA applications** were filed, the highest ever in a single year.

(iii) Unilateral APAs: Trends and Analysis

Unilateral APAs continue to form the backbone of the Indian APA program, accounting for **615 out of the 815 APAs** signed till date. The majority of UAPAs concluded in FY 2024–25 pertained to the **service sector**, particularly:

- Software development services,
- IT-enabled services,
- Engineering design services,
- Knowledge process outsourcing (KPO), and
- Contract R&D services.

The report highlights that **71 out of the 109 UAPAs signed in FY 2024–25 were renewal cases**, reflecting sustained taxpayer trust and satisfaction with earlier APAs. The average time taken to conclude UAPAs signed during the year was approximately **42.8 months**, with a significant proportion of cases being resolved within two years.

The **Transactional Net Margin Method (TNMM)** remained the most frequently applied transfer pricing method, though other methods, including CUP and “Other Method”, were also used depending on transaction complexity.

(iv) Bilateral and Multilateral APAs

The bilateral segment of the APA program has gained considerable momentum in recent years. As on 31 March 2025, **200 BAPAs** had been signed, providing certainty for over **1,015 assessment years**, including rollback years.



FY 2024–25 marked a major milestone with the signing of **65 BAPAs**, representing a year-on-year increase of more than 60%. The **United States** continued to be the most significant treaty partner, followed by the **UK and Japan**.

The report also documents the conclusion of **India's first MAPA**, signaling the program's evolution towards handling more complex, multi-jurisdictional transfer pricing arrangements.

While bilateral APAs generally take longer to conclude due to inter-governmental negotiations, the report notes improved coordination, streamlined processes, and increased frequency of competent authority meetings.

(v) Rollback and Renewal Trends

The rollback provisions, introduced through legislative amendments in 2014, continue to enhance the attractiveness of the APA programme. A substantial number of APAs signed include rollback years, enabling taxpayers to achieve certainty for up to **nine assessment years** in total.

Renewals constitute a growing share of concluded APAs, both unilateral and bilateral. The increasing number of renewal applications indicates that taxpayers prefer continuing with an agreed framework rather than reverting to conventional transfer pricing audits and litigation.

(vi) Sectoral, Industry, and Geographic Distribution

The report provides detailed sectoral and industry-wise analysis of APAs concluded. The **information technology and IT-enabled services sector** dominates both unilateral and bilateral APAs, followed by manufacturing, trading, pharmaceuticals, automotive, banking and insurance, and engineering services.

From a geographic perspective, associated enterprises covered under APAs span **over 90 countries**, with major concentrations in the USA, UK, Singapore, Germany, Japan, France, and other developed economies. This reflects India's central role in global value chains.

(vii) Way Forward and Policy Outlook of CBDT

Key focus areas of the APA program include:

- Encouraging earlier filing of APA applications to ensure truly “advance” certainty,
- Faster resolution of pending and complex cases,



- Enhanced use of technology and process standardization, and
- Continued strengthening of bilateral cooperation with treaty partners.

The signing of an increasing number of Bilateral as well as Unilateral APAs shows the faith reposed by taxpayers in the APA program. A large part of the credit of the success of this program is dedicated to the proactive taxpayers displaying a willingness for resolution of APAs.

At this juncture, it is important however to also re-evaluate on how the program can be optimized and the procedures be streamlined so as to resolve a higher number of APAs. It may be worthwhile to begin with the original aspirational objective of providing tax certainty to a taxpayer for 5 years in advance, apart from giving the taxpayer an option of roll-back for 4 earlier years. The process begins with filing of application, any time before the beginning of first year of APA. Currently, almost all APA applications are filed in the month of March, a few days before the APA term begins, making it virtually impossible to get an APA before the term begins. The early filing of APA application, say in April itself of the earlier year, can help to kick-start the APA process even before the APA period begins, making it a truly advanced agreement. In nearly 40% of UAPAs and nearly 30% of BAPAs, the agreement was signed within 24 months in FY 2024-25. Therefore, the APA program can strive to provide tax certainty to taxpayers within the first APA year, i.e. before the return for the first year is filed, in such a scenario.

India has signed one of the highest number of BAPAs in FY 2024-25 since the inception of the APA program. This has been possible because of an emerging constructive relationship between the various treaty partners in resolution of APA applications. It is also seen that information symmetry in the submissions and proactive responses by the taxpayer play an important role in closing divergent positions and arriving at common ground to resolve cases.

The APA program of India since its inception in FY 2012-13 has started to mature with a consistent increase in the number of APAs signed in the last four years. Every passing year is a testimony to increased capacity building of all the stakeholders of the APA program – the taxpayers, the tax consultants, APA teams and Competent Authorities. We are at a pivotal point in the APA program to fully utilize the rich repository of knowledge and experience in the APA program so far, thereby providing tax certainty to the taxpayers in a truly advance manner. All efforts are already being made towards this endeavor.



Appendix

I. Stages, Forms, Authorities and Relevant Rules under the APA Regime

Stage	Prescribed Form	Authority for Filing / Submission	Relevant Rule(s)
Pre-filing Consultation	Form 3CEC	Director General of Income-tax (International Taxation) in case of unilateral APA; Competent Authority of India in case of bilateral / multilateral APA	Rule 10I
Formal APA Application	Form 3CED	Director General of Income-tax (International Taxation) in case of unilateral APA; Competent Authority of India in case of bilateral / multilateral APA	Rules 10G and 10H
Withdrawal of APA Application	Form 3CEE	Director General of Income-tax (International Taxation) in case of unilateral APA; Competent Authority of India in case of bilateral / multilateral APA	Rule 10H (procedural stage)
Execution and Monitoring of APA (Annual Compliance)	Form 3CEF (Annual Compliance Report)	Director General of Income-tax (International Taxation) in case of unilateral APA	Rule 10L read with Rule 100
Revision of an APA	No prescribed format	Request to DGIT (International Taxation) in case of unilateral APA; Request to Competent Authority of India in case of bilateral / multilateral APA	Rule 10M



Stage	Prescribed Form	Authority for Filing / Submission	Relevant Rule(s)
Cancellation of APA	No prescribed form	Action by APA authorities after due process	Rule 10N
Renewal of APA	Fresh APA application (Form 3CED)	DGIT (International Taxation) in case of unilateral APA; Competent Authority of India in case of bilateral / multilateral APA	Rules 10G, 10H and 10K
Effect and Binding Nature of APA	—	Binding on taxpayer and tax authorities	Rule 100
Rollback Implementation and Miscellaneous Matters	—	Assessing Officer / APA Authorities	Rules 10J and 10P-10T

II. Statutory Framework of Advance Pricing Agreements: Sections 92CC and 92CD of the Income-tax Act, 1961

The statutory foundation of the Advance Pricing Agreement (APA) regime in India is laid down in Sections 92CC and 92CD of the Income-tax Act, 1961. These provisions provide the legislative authority, binding force, and implementation mechanism for APAs, transforming them from administrative arrangements into legally enforceable instruments.

While the procedural and operational aspects of APAs are governed by Rules 10F to 10T of the Income-tax Rules, 1962, Sections 92CC and 92CD constitute the substantive law governing the validity, scope, effect, and consequences of APAs. A proper understanding of these provisions is therefore essential to appreciate the legal architecture of the Indian APA regime.

Legislative Background and Policy Rationale

Prior to the introduction of Sections 92CC and 92CD, transfer pricing disputes in India were predominantly addressed through post-facto audits and prolonged litigation. This approach resulted in significant uncertainty for taxpayers, recurring adjustments across years, and frequent instances of economic double taxation.



To address these challenges, the legislature introduced the APA framework with the following objectives:

- To provide certainty in advance with respect to transfer pricing outcomes,
- To reduce litigation and administrative burden,
- To align Indian transfer pricing practice with international best practices, and
- To promote a cooperative compliance model between taxpayers and the tax administration.

Sections 92CC and 92CD reflect this policy shift by embedding APAs within the statutory framework of the Act.

Section 92CC – Advance Pricing Agreement

Statutory Authority to Enter into an APA

Section 92CC(1) empowers the Central Board of Direct Taxes (CBDT), with the prior approval of the Central Government, to enter into an Advance Pricing Agreement with any person undertaking an international transaction. This provision provides the necessary legal sanction for the tax administration to negotiate and conclude APAs.

The statutory recognition ensures that APAs are not merely administrative or contractual arrangements, but agreements entered into under explicit legislative authority.

Scope and Coverage of an APA

Under Section 92CC, an APA may determine:

- The arm's length price of an international transaction,
- The manner of determination of the arm's length price, or
- Both the above.

The provision permits a wide scope, allowing an APA to cover not only numerical pricing outcomes but also the methodology, comparability analysis, critical assumptions, risk allocation, and other relevant matters. This flexibility enables APAs to address complex business models in a holistic manner.



Prospective Application and Duration

An APA under Section 92CC is fundamentally prospective in nature, applying to future assessment years as specified in the agreement. The duration of the APA is determined contractually, subject to statutory limits prescribed in the rules.

Subsequent amendments to the law enabled the rollback of APAs to prior assessment years, subject to conditions. This enhancement significantly strengthened the APA regime by allowing resolution of pending disputes and ensuring consistency across years.

Types of APAs Recognized

Section 92CC statutorily recognizes three forms of APAs:

- **Unilateral APAs**, involving only the taxpayer and the Indian tax authorities;
- **Bilateral APAs**, involving the taxpayer and two tax administrations acting through their respective Competent Authorities;
- **Multilateral APAs**, involving more than two tax administrations.

This recognition facilitates coordination with tax treaties and ensures consistency with the Mutual Agreement Procedure (MAP) framework.

Binding Nature of an APA

Section 92CC(4) provides that an APA is binding on both:

- The taxpayer, and
- The income-tax authorities,

in respect of the covered transactions and the specified period, so long as there is no change in law or facts and the taxpayer complies with the terms of the agreement. This binding effect is the cornerstone of the certainty offered by the APA regime.

Change in Law or Facts

The binding nature of an APA is conditional. A material change in:

- Applicable law, or
- Facts or critical assumptions underlying the APA,



may necessitate revision or cancellation of the agreement in accordance with the rules. This ensures that APAs remain aligned with economic reality and statutory developments.

APA Obtained by Fraud or Misrepresentation

Section 92CC(5) empowers the tax authorities to declare an APA **void ab initio** if it is found to have been obtained through:

- Fraud,
- Misrepresentation of facts, or
- Suppression of material information.

This provision safeguards the integrity of the APA regime and acts as a deterrent against abuse of the certainty mechanism.

Section 92CD – Giving Effect to an Advance Pricing Agreement

Purpose and Role of Section 92CD

While Section 92CC governs the formation and validity of an APA, Section 92CD deals with its implementation. It ensures that the agreed transfer pricing outcomes are effectively reflected in the computation of income, assessments, and appellate proceedings.

Obligation to Furnish a Modified Return

Section 92CD(1) requires the taxpayer to furnish a **modified return of income** for the relevant assessment year(s) to which the APA applies, including rollback years. The modified return must reflect income computed in accordance with the APA.

This requirement ensures procedural alignment between the APA and the return of income filed by the taxpayer.

Consequential Effect on Assessments and Proceedings

Upon filing of the modified return, the Assessing Officer is required to:

- Complete or modify the assessment in conformity with the APA, and
- Align pending proceedings, including appeals or rectifications, with the APA outcome.

The Assessing Officer has **no discretion** to deviate from the terms of the APA while giving effect to Section 92CD.

Override of Limitation Provisions



Section 92CD provides that assessments or reassessments to give effect to an APA may be completed notwithstanding the limitation periods prescribed elsewhere in the Act. This overriding power is, however, strictly confined to implementing the APA and cannot be used to reopen unrelated issues.

Finality of APA Implementation

Once Section 92CD is complied with, the transfer pricing treatment agreed under the APA attains finality for the covered years. This eliminates further adjustment or litigation in respect of covered transactions, reinforcing the dispute-preventive nature of the APA regime.

Combined Reading of Sections 92CC and 92CD

Sections 92CC and 92CD operate in tandem and must be read together:

- **Section 92CC** provides the authority, scope, and binding force of APAs.
- **Section 92CD** operationalizes the APA within the assessment and compliance framework.

Together, these provisions ensure that APAs function as statutorily enforceable certainty instruments, rather than mere negotiated understandings.

Significance in the Indian APA Framework

The statutory framework under Sections 92CC and 92CD represents a decisive shift in Indian transfer pricing administration. By embedding APAs within the Act and providing a clear mechanism for their implementation, the legislature has institutionalized certainty, predictability, and cooperative compliance as central principles of international taxation.

Sections 92CC and 92CD form the legal backbone of the APA regime in India. They elevate APAs from administrative policy tools to binding statutory mechanisms capable of delivering long-term transfer pricing certainty, reducing disputes, and enhancing trust between taxpayers and the tax administration.

Within the broader structure of the APA handbook, this chapter serves as the core statutory reference, linking the conceptual foundations of APAs with their procedural and practical operation under Indian tax law.



III. Relevant Rules on Advance Pricing Agreements (APA) under Indian Tax Law

The statutory framework governing Advance Pricing Agreements (APAs) in India is contained in the Income-tax Rules, 1962, specifically Rules 10F to 10T, which were inserted to operationalize the APA provisions introduced in the Income-tax Act, 1961. These rules comprehensively lay down the definitions, procedure, timelines, rollback mechanism, compliance requirements, and consequences of non-compliance in relation to APAs.

A brief rule-wise overview is set out below for ready reference:

Rule 10F – Definitions

Rule 10F lays the conceptual foundation of the APA regime by defining key expressions used throughout Rules 10F to 10T. These include terms such as *Advance Pricing Agreement*, *rollback provision*, *covered transaction*, *unilateral APA*, *bilateral APA*, *multilateral APA*, and *APA authority*. The importance of Rule 10F lies in ensuring uniform interpretation and avoiding ambiguity in the application of the APA framework. Since APAs involve long-term commitments and binding consequences, precise definitions are critical for both taxpayers and tax authorities.

Rule 10G – Filing of Application for APA

Rule 10G governs the eligibility and procedural requirements for filing an APA application. It specifies that any person entering into an international transaction or specified domestic transaction may apply for an APA in the prescribed form, subject to payment of the prescribed fee. The rule establishes the **voluntary nature** of the APA regime while ensuring that only serious and eligible applicants enter the process. It also reinforces that the application must be comprehensive and forward-looking, covering proposed transactions for future years.

Rule 10H – Processing of APA Application

Rule 10H deals with the initial examination and processing of the APA application by the APA authorities. Upon receipt of the application, the authorities may call for additional information, documents, or clarifications. This rule empowers the authorities to assess whether the application is suitable for further consideration and negotiation. Importantly, Rule 10H also provides the authority to **reject an application**, after giving the applicant an opportunity of being heard, if it is found to be incomplete, non-genuine, or unsuitable for the APA process.



Rule 10I – Pre-filing Consultation

Rule 10I institutionalizes the **pre-filing consultation mechanism**, which allows taxpayers to engage with APA authorities before formally filing an application. The consultation may be anonymous or non-anonymous and is non-binding in nature. Its objective is to help taxpayers understand the feasibility, scope, and procedural expectations of an APA, while enabling the tax administration to assess complexity and resource requirements. This rule promotes transparency and efficiency by reducing the likelihood of weak or inappropriate applications.

Rule 10J – Rollback Provision

Rule 10J provides the statutory basis for **rollback of an APA** to prior assessment years. It permits the agreed transfer pricing methodology to be applied to a specified number of preceding years, subject to prescribed conditions. The rule ensures that rollback is not granted where it would result in reduced income or increased loss or where proceedings involve serious non-compliance. Rollback significantly enhances the attractiveness of APAs by resolving past disputes and ensuring consistency across years, while safeguarding revenue interests.

Rule 10K – Terms of the APA

Rule 10K specifies the matters that may be included in an APA. These include the covered transactions, the agreed transfer pricing methodology, arm's length pricing parameters, critical assumptions, and the duration of the agreement. The rule typically allows an APA to be valid for up to five future years, excluding rollback years. Rule 10K underscores that an APA is not limited to pricing alone but may comprehensively address functional analysis, risk allocation, and compliance conditions.

Rule 10L – Compliance and Annual Compliance Report

Rule 10L mandates the filing of an **Annual Compliance Report (ACR)** for each year covered under the APA. The taxpayer must certify that the terms and conditions of the APA have been complied with and that critical assumptions remain valid. This rule ensures continuous monitoring of APA implementation and acts as a safeguard against misuse. Non-filing or incorrect filing of the ACR may lead to revision or cancellation of the APA.



Rule 10M – Revision of APA

Rule 10M provides for **revision of an APA** where there is a change in critical assumptions or other relevant circumstances affecting the agreement. Revision is prospective in nature and requires mutual consent of the parties. This rule reflects the practical reality that business conditions may evolve over time and ensures flexibility without undermining the certainty objective of the APA regime.

Rule 10N – Cancellation of APA

Rule 10N empowers the tax authorities to **cancel an APA** in cases of non-compliance, failure to file the ACR, or where the agreement was obtained through fraud or misrepresentation. Cancellation may operate prospectively or retrospectively, depending on the nature of the breach. This rule acts as a deterrent against misuse of the APA framework and preserves the integrity of the regime.

Rule 100 – Effect of APA

Rule 100 clarifies the legal effect of an executed APA. It provides that the APA is **binding** on both the taxpayer and the tax authorities in respect of the covered transactions and years, subject to compliance. It further states that regular transfer pricing provisions shall not apply to such transactions. This rule embodies the certainty and finality that lie at the heart of the APA framework.

Rules 10P to 10T – Implementation and Procedural Provisions

Rules 10P to 10T contain supplementary provisions relating to:

- Giving effect to APAs and rollback years,
- Interaction with pending assessments and appellate proceedings,
- Administrative coordination among tax authorities,
- Procedural clarity for implementation.

These rules ensure that APAs are smoothly integrated into the broader assessment and dispute resolution framework under the Income-tax Act.

Taken together, Rules 10F to 10T constitute a self-contained and comprehensive code governing the APA regime in India. They balance certainty for taxpayers with safeguards for revenue, while promoting



cooperative compliance and dispute prevention. The detailed procedural architecture reflects India's commitment to a mature, globally aligned APA program administered by the Central Board of Direct Taxes (CBDT).

IV. FAR Analysis Sample Template

FAR Analysis (Aligned with Form 3CED – APA Application)

(Illustrative Example: Captive Service Provider)

A. Details of the Applicant and Associated Enterprise

(Form 3CED – Part A)

Name of Applicant: ABC India Private Limited

Country of Incorporation: India

Nature of Business: Provision of IT-enabled support services

Associated Enterprise: ABC Global Inc.

Country: United States of America

ABC India Private Limited (“the Applicant”) is a wholly owned subsidiary of ABC Global Inc. and operates as a captive service provider, rendering services exclusively to its Associated Enterprise.

B. Description of the International Transaction(s)

(Form 3CED – Part B)

The Applicant provides IT-enabled and back-office support services to its Associated Enterprise under a long-term inter-company services agreement. The services are rendered on a cost-plus basis, with the Applicant being compensated irrespective of the profitability of the Associated Enterprise.

The transactions are recurring, homogeneous, and integral to the group's global service delivery model.

C. Industry and Business Overview

(Form 3CED – Business Description Section)

The ABC Group is engaged in providing integrated digital and technology solutions to third-party customers globally. The group follows a



centralized operating model, under which strategic decision-making, customer contracting, pricing, and ownership of intellectual property are retained at the parent level.

The Applicant functions as a support service center, executing routine functions based on instructions, standards, and policies framed by the Associated Enterprise.

D. Functional Analysis

(Form 3CED – Functions Performed)

Functions Performed by the Applicant (ABC India)

The Applicant performs the following functions:

- Provision of IT-enabled support services such as application support, routine software testing, data processing, and back-office operations
- Execution of services strictly in accordance with specifications and workflows prescribed by the Associated Enterprise
- Day-to-day operational management of service delivery
- Quality control and internal process compliance
- Preparation of periodic performance and activity reports for the Associated Enterprise

The Applicant does **not** undertake:

- Strategic planning
- Pricing or contract negotiations
- Customer interaction or client acquisition
- Development of proprietary technology or intangibles

Functions Performed by the Associated Enterprise (ABC Global Inc.)

The Associated Enterprise performs the following key functions:

- Global business strategy and decision-making
- Customer acquisition, contracting, and pricing
- Development, ownership, and management of intellectual property
- Marketing, branding, and customer relationship management
- Overall supervision, risk management, and control



Functional Characterization

Based on the above:

- The Applicant is functionally characterised as a **routine captive service provider**.
- The Associated Enterprise is the **entrepreneurial entity** controlling key value drivers.

E. Asset Analysis

(Form 3CED – Assets Employed)

Assets Employed by the Applicant

Tangible Assets

- Leased office premises
- Computers, servers, and networking equipment
- Office furniture and standard infrastructure

These assets are routine, non-specialized, and do not contribute to unique value creation.

Intangible Assets

- The Applicant does not own or develop any intangible assets.
- All proprietary software, tools, and platforms used are either owned by or licensed from the Associated Enterprise.
- The Applicant does not perform any DEMPE functions in relation to intangibles.

Financial Assets

- Routine working capital assets such as receivables and cash balances
- No inter-company lending or treasury functions performed

Assets Employed by the Associated Enterprise

- Ownership of proprietary software, platforms, and technology
- Ownership of brand, trademarks, and customer-related intangibles
- Financial assets used for funding and global treasury operations



F. Risk Analysis

(Form 3CED – Risks Assumed)

Identification and Allocation of Economically Significant Risks

Type of Risk	Applicant (ABC India)	Associated Enterprise
Market Risk	No	Yes
Customer Credit Risk	No	Yes
Pricing Risk	No	Yes
Capacity Utilisation Risk	Limited	Yes
Operational Risk	Limited	Yes
Foreign Exchange Risk	Limited	Yes
Intangible / Technology Risk	No	Yes
Regulatory / Legal Risk	Limited	Yes

Contractual Allocation of Risks

As per the inter-company services agreement:

- The Applicant is insulated from market, credit, and pricing risks.
- The Associated Enterprise bears all significant business and financial risks.
- The Applicant is remunerated on a **cost-plus basis**, ensuring a stable return.

Control over Risks

The Applicant does not exercise control over economically significant risks. Decisions relating to:

- Scale of operations
- Investment in technology
- Client strategy
- Risk mitigation

are exclusively taken by the Associated Enterprise.



Financial Capacity to Bear Risks

The Applicant operates with limited capital and does not have the financial capacity to absorb significant losses. The Associated Enterprise has sufficient capital and financial strength to assume entrepreneurial risks.

Actual Conduct vs Contractual Terms

The actual conduct of the parties is consistent with the contractual arrangements. There is no divergence between contractual risk allocation and operational reality.

G. FAR Conclusion and Economic Characterization

(Form 3CED – Basis for Method Selection)

Element	Applicant	Associated Enterprise
Functions	Routine support services	Strategic and entrepreneurial
Assets	Routine tangible assets	Valuable intangibles
Risks	Limited	Significant

The Applicant is therefore a **low-risk captive service provider**, entitled only to a **routine arm's length return**.

H. Impact on Transfer Pricing Methodology

(Form 3CED – Methodology and PLI)

Given the FAR profile:

- **Transactional Net Margin Method (TNMM)** is selected as the most appropriate method.
- **Operating Profit / Total Cost (OP/TC)** is selected as the Profit Level Indicator.

This method and PLI are consistent with the Applicant's limited-risk profile.

I. FAR Stability and Critical Assumptions

(Form 3CED – Critical Assumptions)

It is assumed that:

- The nature and scope of services rendered by the Applicant shall remain unchanged,



- The Applicant shall continue to operate as a captive service provider, and
- No significant intangible development or risk assumption shall be undertaken by the Applicant.

Any material change shall be reported in accordance with APA compliance requirements.

Overall Conclusion

This FAR analysis demonstrates that the Applicant performs routine, low-risk support services, employs only routine assets, and does not assume economically significant risks. The proposed transfer pricing methodology and remuneration are therefore consistent with the arm's length principle and suitable for coverage under an Advance Pricing Agreement.

V. Industry Overview & Economic Analysis Sample Template

Industry Overview and Economic Analysis

(Aligned with APA Application – Form 3CED)

I. Industry Overview

(Form 3CED – Industry and Market Conditions)

1. Overview of the IT-Enabled Services Industry

The Applicant operates in the IT-Enabled Services (ITES)/Business Process Outsourcing (BPO) industry, which constitutes a significant segment of India's services sector. The industry primarily caters to global multinational enterprises by providing support services such as data processing, application support, software testing, finance and accounting support, customer operations, and other back-office functions.

The Indian ITES industry is characterized by:

- Availability of skilled and cost-competitive manpower,
- Process standardization and scalability,
- High degree of integration with global business models, and
- Predominantly captive or outsourced service delivery structures.



2. Industry Business Models

Broadly, the ITES industry operates under the following models:

1. Captive Service Provider Model

Entities render services exclusively to group companies, operate on a cost-plus basis, and assume limited risks.

2. Third-Party Service Provider Model

Independent service providers cater to multiple clients, assume entrepreneurial risks, and earn market-driven returns.

The Applicant operates under a **captive service provider model**, which is structurally and economically distinct from independent service providers.

3. Competitive Environment and Market Conditions

The ITES industry is highly competitive, with pricing driven by:

- Efficiency of service delivery,
- Labour cost dynamics,
- Automation and process optimization, and
- Client-specific service requirements.

Captive service providers are **insulated from market competition**, as they do not solicit third-party clients and are not exposed to demand fluctuations or pricing pressures. Consequently, their returns are **stable and routine**, reflecting their limited-risk profile.

4. Regulatory and Economic Environment

The industry is subject to:

- Labour laws and employment regulations,
- Data protection and information security norms,
- Foreign exchange regulations, and
- Transfer pricing regulations.

However, captive ITES entities typically do not bear regulatory or compliance risks independently, as such risks are managed and controlled at the group level.



5. Industry Risk Profile

From an economic perspective:

- Market risk, pricing risk, and customer concentration risk reside with the parent entity,
- Captive entities assume only limited operational risks.

This industry structure supports the use of **routine cost-based remuneration** for captive service providers.

II. Economic Analysis

(Form 3CED – Economic Analysis and Arm's Length Determination)

1. Objective of Economic Analysis

The objective of this economic analysis is to:

- Determine whether the remuneration received by the Applicant for the covered international transactions is consistent with the **arm's length principle**, and
- Support the selection of the **most appropriate transfer pricing method**, Profit Level Indicator (PLI), and arm's length range for purposes of the APA.

2. Selection of the Tested Party

The Applicant has been selected as the **tested party** for the economic analysis based on the following considerations:

- It performs routine functions,
- It employs non-unique assets,
- It assumes limited risks, and
- Reliable comparable data is available for similar service providers in India.

The Associated Enterprise, being the entrepreneurial entity owning valuable intangibles and assuming significant risks, is not suitable for benchmarking.

3. Selection of the Most Appropriate Method

Considering the FAR profile and industry characteristics, the **Transactional Net Margin Method (TNMM)** is selected as the most



appropriate method because:

- Direct price comparables are not available for captive services,
- TNMM is widely accepted for benchmarking routine service providers, and
- It reliably measures profitability relative to costs incurred.

4. Selection of Profit Level Indicator (PLI)

The Profit Level Indicator selected is:

Operating Profit / Total Cost (OP/TC)

This PLI is appropriate because:

- The Applicant is compensated on a cost-plus basis,
- Costs are the primary value driver for service delivery, and
- OP/TC best reflects operational efficiency and routine returns.

5. Comparable Companies Search Strategy

Comparable companies are selected based on the following criteria:

- Engaged in IT-enabled / back-office support services,
- Operating in India,
- Functionally comparable to captive service providers,
- Not owning significant intangibles,
- Not assuming entrepreneurial risks.

Companies engaged in software development, KPO services, or owning proprietary technology are excluded to maintain functional comparability.

6. Adjustments and Comparability Considerations

Where necessary, adjustments are considered for:

- Differences in working capital levels,
- Abnormal costs or extraordinary events,
- Functional differences affecting margins.

Risk adjustments are generally **not required**, as comparable companies are selected to reflect routine service providers with similar risk profiles.



7. Determination of Arm's Length Range

Based on the benchmarking analysis:

- An arm's length range of operating margins is determined using appropriate statistical measures,
- The Applicant's operating margin is compared with the arm's length range.

If the Applicant's margin falls within the agreed range, the pricing is considered arm's length.

8. Consistency with FAR Analysis

The economic analysis is fully consistent with the FAR analysis, which establishes that:

- The Applicant is a limited-risk captive service provider, and
- It is entitled only to a routine return.

Accordingly, the use of TNMM with OP/TC as the PLI appropriately reflects the Applicant's economic contribution.

9. Economic Analysis in the Context of APA

For purposes of the APA:

- The benchmarking approach,
- The method selection, and
- The arm's length range

are expected to remain stable over the APA term, subject to no material change in FAR profile or industry conditions. These assumptions constitute **critical assumptions** under the APA.

Overall Conclusion

The industry overview demonstrates that captive IT-enabled service providers operate in a **limited-risk, routine environment**, insulated from market forces and entrepreneurial risks. The economic analysis confirms that the Applicant's remuneration, determined using TNMM with OP/TC as the PLI, is consistent with the arm's length principle.

Accordingly, the proposed pricing methodology is appropriate for inclusion in an Advance Pricing Agreement under Indian transfer pricing regulations.

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